



Non-operating Expenses

After having understood EBIT and operating items, we now start with Non-operating expenses in this section.

Non-operating Expenses						
Finance Costs/ Total Debt -Approx.	16.6%	14.3%	12.7%	23.5%	13.5%	12.5%
Study finance costs as an extension of Long						
Understand the motivation behind bearing all non-operating expenses?						
Non- Operating Profits	65	98	133	121	115	42

We need to ask a set of questions about Non-operating expenses in order to understand these better. These are-

1. Finance Costs/ Total Debt

We have already seen Other Income as a percentage of Financial Assets to estimate what the company is earning on financial assets.

Similarly, we understand the cost for financial debt as well. We find the ratio to be 16.6% in FY 2016, 14.3% in FY 2017, 12.7% in FY 2018, 23.5% in FY 2019, 13.5% in FY 2020, and 12.5% in FY 2021.

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To analyze the Non-operating expenses better, we need to combine this with notes to accounts where the company discloses its short-term and long-term interest.

We see here that the company's total debt is very little or very low, due to which the interest cost will also be very little or nominal. But, the company needs to pay small interests here and there as well, to the government, to the suppliers, etc., all of which should get added to finance costs. Here we see that finance cost/total debt is too high. This is either because finance cost has other items as well as other than interest or we have not included all forms of debt like lease liabilities, if the company has any. We need to dig deeper and understand why that is the case.